IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CP(CAA)No.22/BB/17, CP(CAA)No.23/BB/17, CP(CAA)No.24/BB/17, CP(CAA) No.25/BB/17, CP(CAA) No.26/BB/17, CP(CAA) No.27/BB/17

Under Section 391 to 394 of Companies Act, 1956 &
Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF
BLISS RENTALS PRIVATE LIMITED
TRANSCENDENTAL RENTALS PRIVATE LIMITED
COSMIC RENTALS PRIVATE LIMITED
CREATIVE RENTALS PRIVATE LIMITED
GO GO TEXTILES BANGALORE PRIVATE LIMITED
AND
GO GO INTERNATIONAL PRIVATE LIMITED
Order delivered on:22nd February, 2018

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s) 1. K.V.Satish, Advocate
2. Prema Hatti, Central Gov.Standing Counsel
3.Pramod Kumar, Assistant, Official Liquidator

Per: Hon'ble Shri Ratakonda Murali, Member (Judicial)

Heard on: 14.7.2017, 24.7.2017, 2.8.2017, 11.9.2017, 4.10.2017, 23.10.2017, 17.11.2017, 8.12.2017, 20.12.2017, 17.1.2018, 25.1.2018, 7.2.2018

COMMON ORDER

These Company Petitions were filed on behalf of the Petitioner Companies under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangement and Amalgamation) Rules, 2016, praying to order for sanctioning of the scheme of Amalgamation of the Transferor Companies with the Transferee Company and shall be binding upon all the Shareholders and Creditors of the Companies.

The averments made in the Company Petitions are briefly described hereunder:

The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of Bliss Rentals Private Limited (Transferor Company No.1), Transcendental Rentals Private Limited (Transferor Company No.2), Cosmic Rentals Private Limited (Transferor Company No.3), Creative Rentals Private Limited (Transferor Company No.4), Go Go Textiles

rent, or other consideration as may be mutually agreed. The copy of Memorandum and Articles of Association of the Petitioner/Transferor Company No.2 is shown as **Annexure-B in C.P.(CAA) No.22/BB/17.**

The latest authorized share capital of Petitioner/Transferor Company No.2 is Rs.1,00,000/- divided into 1000 Equity Shares of Rs.100/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 1000 Equity Shares of Rs.100/-each fully paid up. The Audited balance sheet as on 31st March, 2016 is shown as **Annexure-C in C.P(CAA)No.22/BB/17.**

The Petitioner/Transferor Company No. 3 was incorporated on 21st February, 2005 under the name and style of **Cosmic Rentals Private Limited** with the Registrar of Companies, Karnataka vide CIN bearing No: U70200KA2005PTC035652.The Registered office of Petitioner/Transferor Company No.3 is situated at No.5/6, 2nd Cross, KHB Industrial Area, Yelahanka, Bangalore-560064.

The main objects of the Petitioner/Transferor Company No.3 is to purchase, acquire, sell, take on lease or tenancy or in exchange, hire, take-over, own and maintain basis or buy on hire purchase, lease, sell, or other basis or to get on rental basis commercial properties, residential properties, estates, interests, capital equipments which may be utilized for the business of the company or which may be allowed to be utilized by others on such hire, lease, rent, or other consideration as may be mutually agreed. The copy of Memorandum and Articles of Association of the Petitioner/Transferor Company No.3 is shown as **Annexure-B in C.P.(CAA).No.25/BB/17.**

The latest authorized share capital of Petitioner/Transferor Company No.3 is Rs.1,00,000/- divided into 1000 Equity Shares of Rs.100/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 1000 Equity Shares of Rs.100/-each fully paid up. The Audited balance sheet as on 31st March, 2016 is shown as **Annexure-C in C.P.(CAA).No.25/BB/17.**

The Petitioner/Transferor Company No. 4 was incorporated on 21st September, 2005 under the name and style of **Creative Rentals Private Limited** with the Registrar of Companies, Karnataka vide CIN bearing No.U70101KA2005PTC037276.The Registered office of the Petitioner/Transferor Company No.4 is situated at No.5, KHB Industrial Area, Yelahanka, Bangalore-560064.

The Petitioner/Transferee Company was incorporated on 4th April, 2008 under the name and style of **Go Go Textiles Bangalore Private Limited** with the Registrar of Companies, Maharashtra. On 31st July, 2015 the registered office of the company was shifted from Maharashtra to Karnataka vide CIN bearing No. U17120KA2008PTC082836.The Registered office of the Petitioner/Transferee Company is situated at No.5/6, 2nd Cross, KHB Industrial Area, Yelahanka, Bangalore-560064.

The main objects of the Petitioner/Transferee Company is to carry on the business in India and elsewhere the business to manufacture, producers, processors, importers, exporters, agents, brokers, wholesalers, showroom owners, retailers, distributors, exchangers, traders, buyers, sellers, job workers, stockist and to promote market, promote organize, design, develop, cut, sort an degrade or otherwise ton deal in all shapes, sizes, varieties, specifications, kind of textiles including garments for men, women and children including sportswear, kids wear, fabrics, active wears, daily wears, fashion wears, party wears, wearing apparels etc,. The copy of Memorandum and Articles of Association of the Petitioner/Transferee Company is shown as **Annexure-B in C.P.(CAA).No.26/BB/17.**

The latest authorized, issued and subscribed share capital of Petitioner/Transferee Company is Rs.30,00,00,000/- divided into 2,00,00,000 Equity Shares of Rs.10/- each and 10,00,000 0% Convertible Preference Shares of Rs.100/- each. The Audited balance sheet as on 31st March, 2016 is shown as shown as **Annexure-C in C.P.(CAA).No.26/BB/17.**

It is further averred that the proposed merger will benefit all the companies in the following manner:

i) Efficient integration and greater financial strength and flexibility for the amalgamated entity, which would result in maximising overall shareholder value, and will improve the competitive position of the combined entity.

ii) Increased efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximise shareholder value.

The Board of Directors of the Petitioner Companies have approved and adopted a Scheme of Amalgamation at its meeting held on 30th August, 2016 by virtue of which Bliss Rentals Private Limited (Transferor Company No.1), Transcendental Rentals Private Limited (Transferor Company No.2), Cosmic Rentals Private Limited (Transferor Company No.3), Creative Rentals Private Limited (Transferor Company No.4), Go Go Textiles Bangalore Private Limited (Transferor Company No.5), Go Go Export Private Limited and Yati

Shareholders and Creditors. Copy of order passed by this Tribunal in T.P.No.263/17is shown as **Annexure-V in CP(CAA)No.27/BB/17**.

The Transferor Company No.5 had filed C.A.No.733/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Shareholders and Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.260/17. The Tribunal vide separate orders dated 12th April, 2016 allowed the Application and dispensed with convening of meeting of the Shareholders and Creditors. Copy of order passed by this Tribunal in T.P.No.260/17is shown as **Annexure-V in CP(CAA)No.24/BB/17**.

The Transferee Company had filed C.A.No.732/16 before the Hon'ble High Court of Karnataka to dispense with the convening of the meeting of Shareholders and Creditors of the company. Subsequently as per Notification No.GSR.1119(E) dated 7th December 2016 issued by Ministry of Corporate Affairs, New Delhi, the said case was transferred to this Tribunal and renumbered as T.P.No.259/17. The Tribunal vide separate orders dated 12th April, 2016 allowed the Application and dispensed with convening of meeting of the Shareholders and Creditors. Copy of order passed by this Tribunal in T.P.No.259/17is shown as **Annexure-V in CP(CAA)No.26/BB/17**.

The Transferor Companies and the Transferee Company filed the petitions bearing CP(CAA) No.23/BB/17, CP(CAA) No.22/BB/17, CP(CAA) No.25/BB/17, CP(CAA) No.27/BB/17, CP(CAA) No.24/BB/17 and CP(CAA) No.26/BB/17 respectively before this Tribunal for approving the scheme of Amalgamation on 28th April, 2017.

This Tribunal vide order dated 2nd August, 2017 in CP(CAA)No.23/BB/17 in Petitioner/Transferor Company No.1 issued notice to Regional Director, Registrar of Companies, Income Tax Department, Official Liquidator and to other sectoral regulators and also directed to have an advertisement be published in the "The Business Standard" and "Udayavani" newspapers stating that the next date of hearing of the present petition was on 11th September, 2017. A Memo dated 21st February, 2018 has been filed at Page No.1-2 in CP(CAA)No.23/BB/17 furnishing the newspaper publications.

This Tribunal vide order dated 2nd August, 2017 in CP(CAA)No.22/BB/17 in Petitioner/Transferor Company No.2 issued notice to Regional Director, Registrar of Companies, Income Tax Department, Official Liquidator and to other sectoral regulators and also directed to have an advertisement be published in the "The Business Standard" and

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 27th September, 2017 making some observations:

a. That the Transferee Company may increase it's authorised share capital suitably to meet requirement of issue of shares to the members of the Transferor Companies by filing necessary e-forms with Registrar of Companies, Karnataka along with necessary filing fees before the Scheme is implemented.
b. That the Transferee Company may amend it's objects suitably for inclusion of the objects of the Transferor Companies no.1, 2,3,4 and 7 before the scheme is implemented.
c. That the registered office of the Transferor company No.6 and 7 are situated at Mumbai, Maharashtra and are within the jurisdiction of the Hon'ble National Company Law Tribunal, Mumbai Bench at Mumbai. Therefore, orders of this Hon'ble Tribunal may be subject to the orders of the Hon'ble National Company Law Tribunal, Mumbai Bench at Mumbai.
d. That Registrar of Companies, Karnataka has reported that the Petitioner Companies involved in the proposed scheme are regular in filing the statutory returns and no complaints, no investigations and no inspections are pending against the Petitioner Companies.

The Counsel for the Petitioner Companies has filed a memo dated 7th February, 2018 and stated that in terms of the report of the Regional Director the Petitioner has complied with the requirement of increase of authorised capital from Rs.30 crores to Rs.34 crores.

The Counsel for Petitioner further submits that the objects clause of the Transferor Companies 1, 2, 3, 4 and 7. Evidencing the said compliances, the following documents are produced:

1. Copy of the resolution passed by the shareholders of the Transferee/ Go Go International Private Limited
2. Copies of receipt issued by MCA acknowledging payment of filing fee.
3. Copy of Form No. MGT-14, for filing of resolutions and agreements to the Registrar regarding change of objects clause.

OLR.No.1/2018 in CP(CAA)No.22/BB/2017, CP(CAA)No.23/BB/2017, CP(CAA)No.24/BB/2017, CP(CAA) No.25/BB/2017 and CP(CAA)No.27/BB/2017 stating that the Company has maintained proper books and records and that the affairs of the Company have not been conducted in a manner prejudicial to the interests of the members or to public interest.

The Counsel for the Petitioner Companies has furnished the certificate of the Chartered Accountant stating that the accounting treatment detailed in the aforesaid Scheme is in compliance with Accounting Standard-14 for Amalgamation as prescribed under Section 133 of the Act read with Rule 7 of the Companies (Account) Rules, 2014. The Certificate of the Charted Accountant is shown as **Annexure-X in respective Company Petitions.**

Further the Authorised Signatory of the Petitioner Companies in his Affidavit dated 2nd August, 2017 stated that there are no other approvals required from sectoral regulatory authorities, SEBI, CCI and Stock exchanges.

After hearing the counsel for the Petitioner Companies and also considering the materials on records the scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme as above, we further clarify that, this order should not be construed as an order in any way of granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Companies therein but subject nevertheless to all charges now affecting the same; and

All liabilities including taxes and charges and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same

47

NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 22.02.2018.

PRESENT: 1. Hon'ble Member(J) **Shri Ratakonda Murali**
2. Hon'ble Member(T) **Dr. Ashok Kumar Mishra**

C.P. No. or C.A. No.	T.P. No.	Purpose	Section	Name of the Parties M/s. / Mr.
CP(CAA) No.25/ BB/ 2017	-	For orders	230/ 232	Cosmic Rentals Pvt. Ltd.

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE
1.	K. V. SATISH 8884 321353 (Bony Layappa)	PETITIONER	

ORDER

Orders pronounced vide separate order.

Member (T) **Member (J)**